Financial Transaction Tax

Gunther Capelle-Blancard

A European financial transaction tax (FTT) is often presented as a politically attractive but technically fragile idea. This is misleading. The proposal considered here is not a utopian attempt to tax global finance in the abstract. It is a pragmatic equity transfer tax, modelled on devices that already exist and operate in major financial markets. The United Kingdom has applied a stamp duty on share transactions for more than three centuries. France introduced its current FTT in 2012, followed by Italy in 2013 and Spain in 2021; beyond Europe, comparable instruments also exist in major financial centres such as Hong Kong and Switzerland, and in around thirty countries worldwide. These examples show that a well-designed FTT can be implemented in open, sophisticated and highly internationalised financial markets without undermining their functioning.

In the context of this report, the FTT is considered primarily as a fiscal instrument. The repayment of NextGenerationEU has created a need for credible new own resources that can strengthen the EU's long-term budgetary sustainability while remaining consistent with broader policy objectives. From this perspective, an equity transfer tax is an attractive candidate: it can raise revenue from a large, concentrated and relatively undertaxed tax base, while relying on mechanisms that are already in place in several major financial markets.

This fiscal framing, however, should not reduce the FTT to a mere revenue device. The tax also has a strong theoretical and normative rationale. Since Keynes, Tobin and Stiglitz - to name a few -, one central argument has been that a small transaction cost can discourage excessive short-term trading without penalising long-term investment. The FTT should not be presented as a universal solution to financial instability or as a substitute for financial regulation, but it can act as a modest corrective instrument in markets where trading volumes have grown far beyond what is needed for ordinary investment and capital allocation.

The FTT also has an attractive distributional profile compared with taxes on labour or broad-based consumption. Equity ownership and frequent trading are concentrated among wealthier households, institutional investors and financial intermediaries. It is therefore consistent with tax fairness, while also reflecting the broader costs that financial markets can impose on society through instability, excessive short-termism and recurrent public interventions in times of crisis. A well-designed FTT is theoretically grounded, non-distortive and inexpensive to collect.

The proposal set out here is to introduce a harmonised EU tax on transfers of ownership of shares issued by companies incorporated in Member States, at a rate of 0.5%, in line with the UK stamp duty. Primary market issuance and genuine market-making activities could remain exempt, as in existing national schemes. The tax would be based on a robust legal and operational design: it would be attached to the security itself, rather than to the location of the broker, the trading venue or the investor. This is the key lesson from existing FTTs. Such taxes can work, but only if they are carefully designed so as to limit avoidance and ensure enforceability.

The scope is deliberately narrow. At this stage, the tax would focus only on equities, not because derivatives, foreign-exchange transactions or crypto-assets should remain outside the scope of financial taxation, but because equity transfers provide the most robust and operationally tested base. This also draws a lesson from the earlier European Commission proposal. The 2011–2013 project was much broader: it covered shares, bonds and derivatives, and would have applied to gross transactions before netting and settlement. It was expected to raise much larger revenues, but it also triggered stronger technical and political objections and ultimately failed to secure agreement among Member States. The present proposal therefore does not seek to reopen the full debate on a comprehensive European FTT. It starts with the most feasible component, while leaving broader extensions for a later stage.

Under conservative assumptions, the proposed EU equity transfer tax would raise approximately EUR 6 billion per year. This figure should be interpreted as the revenue potential of a narrow tax on equity transfers only, not as an estimate of a broader FTT covering bonds, derivatives, foreign-exchange transactions, crypto-assets or intraday trading.

The revenue estimate is deliberately prudent. It does not rely on speculative assumptions. Instead, it is anchored in the observed performance of the French FTT in 2024 and then applied by inference to equity trading volumes in other Member States. This approach incorporates, by construction, the existing exemptions, leakages and the narrow effective tax base observed in France, including the exclusion of most intraday transactions. The detailed methodology and Member State estimates are provided in the appendix.

The revenues are highly concentrated. France would account for about EUR 2.3 billion, the Netherlands for about EUR 1.5 billion and Germany for about EUR 1.2 billion. Together, these three countries would generate almost 80% of total EU revenue, with Italy adding around EUR 0.4 billion. This concentration reflects the geography of equity trading in Europe. It is not necessarily a weakness: the purpose of the tax is precisely to capture activity where financial market transactions take place. But it does mean that the political presentation of the measure would need to be clear, especially if revenues are assigned to the EU budget as an own resource.

Political feasibility remains the main obstacle. A new EU own resource requires unanimity in the Council and approval by all Member States in accordance with their constitutional requirements. This is demanding, and the failure of the previous European FTT project shows that political resistance should not be underestimated. Yet the present proposal is more feasible precisely because it is narrower, more familiar and easier to implement. It does not require agreement on derivatives, foreign-exchange transactions or the taxation of all intraday market activity. It builds instead on instruments already used in several Member States.

Finally, the proposal could serve as a platform for future extensions. The first and most natural extension would be to include intraday equity transactions. Under the French model, these transactions are largely outside the tax base, even though they include many of the most short-term strategies. Extending the tax to intraday trades would broaden the base, improve coherence and increase revenues without raising the statutory rate. The second extension would be to green the FTT. This could be done either by allocating part of the revenues to climate and environmental objectives, or by introducing differentiated rates according to the environmental performance of issuers. Such a green FTT would not replace carbon pricing or environmental regulation, but it could complement them by linking financial market activity to the financing of long-term public goods.

In sum, an EU equity transfer tax would be fair, theoretically grounded, technically feasible and fiscally useful. It would not solve all budgetary challenges, and it should not be oversold. But as one component of a broader package of new own resources, it has a strong comparative advantage: it is based on a tested instrument, it targets a highly concentrated and undertaxed tax base, and even under very conservative assumptions it could generate around EUR 6 billion per year for the EU budget.

The appendix provides the detailed background supporting this proposal. It first presents the rationale and design of the equity transfer tax, before reviewing existing national policies and the earlier European FTT project. It then sets out the revenue-estimation methodology and Member State-level results, responds to common objections, assesses political feasibility and public opinion, and finally discusses possible extensions, notably to intraday transactions and to a green FTT.

Appendix

1 A financial transaction tax

Financial transaction taxes are often presented as an ambitious, controversial or even unrealistic policy instrument. This framing is misleading. In practice, FTTs are neither new nor untested. They have existed for centuries and remain in force in many major financial centres. The most prominent example is the United Kingdom's stamp duty on share transactions, introduced in the seventeenth century and still applied today to purchases of shares issued by UK companies. Similar taxes, with different designs, are also used in France, Italy, Spain and a number of other jurisdiction such as Switzerland, Singapore, Hong Kong, South Korea, etc. The relevant question is therefore not whether an FTT can exist, but how it should be designed (Capelle-Blancard, 2024a).

The proposal considered here is deliberately simple. It consists in introducing, at EU level, a harmonised tax on transfers of ownership of shares, modelled on existing national schemes such as the UK stamp duty and the French FTT. The tax would apply only to equity transactions, not to bonds, derivatives or foreign-exchange transactions. It would be levied at a rate of 0.5%, in line with the UK stamp duty, and charged on one side of the transaction only. The taxable event would be the transfer of ownership, rather than the mere placing of an order or the gross volume of intraday trading. In other words, the proposal does not require taxing all intraday transactions, but focuses on settled net acquisitions of shares.

A key design feature is the issuance principle. Under this principle, the tax applies to transactions in shares issued by companies incorporated in the taxing jurisdiction, regardless of the residence or nationality of the investor and regardless of where the transaction takes place. This is the logic underpinning the UK stamp duty and the French FTT. It is crucial for enforceability: the tax is linked to the legal transfer of ownership of securities, not to the location of the trading platform or intermediary. This design considerably limits avoidance opportunities and explains why such taxes can be maintained even in highly internationalised financial markets (Capelle-Blancard and Persaud, 2025).

The economic rationale for an FTT is also well established. Keynes (1936) argued that a tax on transactions could help reduce the excessive dominance of short-term speculation over enterprise. Tobin (1978) later proposed a levy on currency transactions to "throw sand in the wheels" of international finance, while Stiglitz (1989) defended the use of tax policy to curb speculative short-term trading. These arguments differ in scope, but they share a common intuition: when trading is excessively short-term, the private incentives of market participants may diverge from the social usefulness of financial markets. A small transaction cost can therefore serve both as a source of public revenue and as a modest corrective device.

For the purpose of new EU own resources, however, the fiscal argument is central. Existing FTTs are best understood not primarily as instruments of financial repression, but as low-rate taxes on a large and concentrated tax base. Their purpose is to generate revenue from financial market activity while preserving ordinary investment and market functioning. Existing evidence on the French FTT suggests that the tax reduced trading volumes moderately, by around 10–20%, but without significant effects on market liquidity or volatility (Colliard and Hoffmann, 2017). This is important: the experience of recent European FTTs does not support the view that such taxes are incompatible with deep and efficient financial markets.

The proposal is therefore intentionally pragmatic. Rather than reviving the broader and more politically contentious idea of taxing all financial instruments, it builds on what already exists and works: a narrow, enforceable levy on equity transfers, based on the issuance principle, at a low nominal rate, with standard exemptions for primary issuance and market-making activities where appropriate. This approach would allow the EU to create a new own resource from a tried-and-tested tax instrument, while avoiding many of the objections usually directed at more comprehensive versions of the FTT.

2 Existing national policies

The proposed EU own resource would not be created in a vacuum. Several European countries already tax financial transactions, and the most relevant examples are not marginal cases. They include the United Kingdom, France, Italy and Spain, all of which have implemented taxes on equity transactions or equity transfers. These experiences provide useful lessons on the design of a workable FTT: the tax should be simple, legally robust, focused on shares, based on the issuance principle, and collected through existing reporting or settlement infrastructures.

The United Kingdom remains the main benchmark. Its stamp duty on share transactions dates back to 1694 and is still in force. It applies at a rate of 0.5% to purchases of shares issued by UK companies. The UK stamp duty raises around US$5 billion annually, illustrating that such instruments can provide stable and non-negligible revenues. The key feature of the British model is the issuance principle: the tax applies because the share is issued by a UK company, irrespective of the nationality or residence of the investor and irrespective of where the transaction is executed. Primary market issuances, market-making activities and shares listed on the Alternative Investment Market are exempt. The UK experience is particularly important because it shows that a major financial centre can maintain a sizeable equity transaction tax over a very long period without undermining the development of its financial sector.

France introduced its current FTT in 2012. The French tax also follows the issuance principle. It applies to acquisitions of shares issued by companies whose registered office is in France and whose market capitalisation exceeds EUR 1 billion.[1] The tax is paid by the buyer and it is calculated on net acquisitions recorded at the end of the trading day. This means that the French FTT is not, strictly speaking, a tax on transactions, but a tax on transfers of ownership. Intraday transactions that are opened and closed within the same day are therefore effectively excluded from the tax base. [2] The rate of the French FTT was initially 0.2%, then increased to 0.3% in 2017, and 0.4% in 2025. The French case is especially useful for the present proposal because it shows how a modern equity FTT can be implemented unilaterally, even in an open financial market.

Italy introduced a similar tax in 2013, shortly after France. It applies to shares of Italian companies above a market-capitalisation threshold of EUR 500 million. The Italian design is broader in some respects, since it also includes a tax on derivatives and a specific component targeting high-frequency trading. It also differentiates between transactions executed on regulated markets and those executed elsewhere: the rate is 0.1% for transactions on regulated markets and 0.2% otherwise. This feature is important because it can encourage trading to move towards more transparent and

[1] The list of companies subject to the tax is updated annually by the tax administration.

[2] The French FTT formally has three components: a tax on share transfers, a tax on high-frequency trading, and a tax on naked sovereign credit default swaps. In practice, however, only the first component is effective. The high-frequency trading component is too narrow to generate meaningful revenue, while the naked CDS component became largely irrelevant after EU restrictions on such transactions. The operational core of the French system is therefore the tax on end-of-day equity transfers.

regulated venues. Italy therefore illustrates a possible refinement of the French model, even though the proposal considered in this annex remains focused on a simple equity transfer tax.

Spain reintroduced an FTT in 2021, after having abolished an earlier tax in 1988. The Spanish tax follows the same broad family of instruments as the French and Italian taxes: it focuses on equity transactions and provides another recent example of a Member State implementing an FTT independently. Together, the French, Italian and Spanish cases show that unilateral implementation within the EU is feasible and that such taxes do not require a fully global agreement in order to operate.

Other European countries also have financial transaction taxes or related securities transaction taxes. Belgium has had a tax on stock-exchange transactions since 1913. Its design, however, differs from the British, French and Italian models. It is linked to the involvement of a Belgian financial institution or to Belgian-resident investors, and it has been described as easier to circumvent than systems based on the issuance principle. Ireland also applies a stamp-duty-type tax, introduced in 1937 on the British model, with a rate of 1%. Existing work also identifies Finland, Poland, Cyprus and Malta among European countries with FTT-type instruments. These cases confirm that securities transaction taxes are not exceptional within Europe, although their design, scope and revenue performance vary substantially.

The main lesson from existing national policies is therefore clear. The success of an FTT depends less on the abstract principle of taxing financial transactions than on the details of its design. Taxes based only on the location of the intermediary or the trading venue are more vulnerable to avoidance. By contrast, taxes based on the issuance principle are more robust because the tax follows the security itself. The EU proposal examined here should therefore draw primarily on the UK, French, Italian and Spanish experiences, while avoiding the weaknesses of more easily circumvented systems.

3 The European FTT project

The idea of a European financial transaction tax gained renewed political momentum after the 2007–2008 financial crisis. The crisis strengthened the view that the financial sector should make a fairer contribution to public finances and that new fiscal instruments could also help discourage socially unproductive short-term trading. The European Parliament called on the Commission to examine the issue in 2010, and the initiative was then strongly supported by France and Germany. In September 2011, the European Commission adopted a proposal for a Council directive establishing a common system of financial transaction tax across the European Union.

The Commission proposal was deliberately ambitious (Gabor, 2016). Its objective was not merely to create a new source of revenue, but also to harmonise existing national approaches, prevent fragmentation of the Single Market, ensure a fair contribution from the financial sector, and discourage transactions considered not to contribute to the economy. The proposal was based on a broad tax base and low rates. It would have applied to secondary-market transactions involving financial institutions, with minimum rates of 0.1% for shares and bonds and 0.01% for derivatives. The Commission described the approach as applying to all markets, all instruments and all actors. In particular, the proposed tax would have applied to gross transactions before netting and settlement, thereby including intraday transactions.

The expected revenue was substantial. For the EU as a whole, the Commission estimated that the proposal could raise around EUR 57 billion per year. Other estimates for the eleven Member

States later involved in the enhanced cooperation procedure suggested annual revenues of around EUR 30–35 billion. These figures reflected the breadth of the initial proposal: a large share of expected revenue came not from the taxation of equity transactions alone, but from the inclusion of bonds and, especially, derivatives.

The project immediately encountered strong opposition. Because taxation requires unanimity in the Council, the proposal could not be adopted at EU-wide level. Several Member States were reluctant or hostile, especially those concerned about the impact on financial centres, market liquidity or the relocation of trading activity. The United Kingdom, Sweden and the Netherlands were among the most vocal opponents in the political debate. According to a contemporary review by the Fondation Robert Schuman, six countries eventually indicated formal opposition to the project in the context of the enhanced-cooperation decision: Bulgaria, Luxembourg, Malta, the United Kingdom, Sweden and the Czech Republic. Ireland and Latvia expressed reservations without formally opposing the principle.

As unanimity proved impossible, the debate shifted towards enhanced cooperation. In 2012, eleven Member States requested authorisation to proceed together: Belgium, Germany, Estonia, Greece, Spain, France, Italy, Austria, Portugal, Slovenia and Slovakia. The Council authorised enhanced cooperation in January 2013, and the Commission tabled a revised proposal in February 2013 for these participating countries. Estonia later withdrew from the process, leaving ten participating Member States. The use of enhanced cooperation was politically significant, as it would have been the first case of such a procedure in the field of taxation.

Despite this narrower framework, negotiations never reached a conclusion. The participating Member States continued to disagree on the scope of the tax, the treatment of derivatives, the residence and issuance principles, the allocation of revenues and the possible effects on non-participating Member States. The proposal remained blocked in the Council for years. In 2023, the Commission stated that the prospects of reaching an agreement were limited and that there was little expectation of an agreement in the short term. In its 2026 work programme, the Commission indicated its intention to withdraw the proposal.

The proposal examined in this annex is much less ambitious than the earlier European project. It does not seek to tax all financial instruments, all markets and all financial actors. It does not include bonds, derivatives or foreign-exchange transactions. It also does not attempt to tax all gross intraday transactions. Instead, it focuses on equity transfers, following the logic of existing national schemes such as the British stamp duty and the French FTT. The rate considered here, 0.5%, is higher than the 0.1% rate proposed by the Commission for shares and bonds, but the tax base is much narrower. The proposal is therefore best understood as a pragmatic equity transfer tax rather than as a comprehensive European FTT.

This narrower design has two advantages. First, it relies on mechanisms that have already been implemented in major financial markets. Second, it avoids reopening all the technical and political controversies that contributed to the failure of the earlier European project. The objective is not to revive the full 2011–2013 proposal, but to draw a practical lesson from it: an overly broad FTT may be politically fragile, whereas a simpler tax on equity transfers, based on the issuance principle and modelled on existing national systems, is more likely to be feasible.

4 Revenue potential at Member State level

The revenue estimates presented here follow an inference-based approach, rather than a purely hypothetical one (Capelle-Blancard and Persaud, 2025). The method is anchored in the observed revenue of the French FTT and then applied to equity trading volumes in other Member States. This is deliberately conservative: rather than assuming that the full statutory tax rate applies to all market transactions, it starts from what the French tax actually raises under the existing design, with its exemptions, its daily netting mechanism and the exclusion of intraday trading.

The reference year is 2024. In France, the FTT raised EUR 1,860 million, including EUR 528 million allocated to the Agence française de développement. According to ESMA data, the total value of equity transactions in France in 2024 was EUR 3,502,800 million. The implicit tax ratio is therefore:

$$\frac{1,860}{3,502,800} = 0.0531\%.$$

This figure is much lower than the statutory rate of the French FTT, which was 0.4% in 2024. It implies that the effectively taxed base represents only:

$$\frac{0.0531\%}{0.4\%} = 13.3\%$$

of total equity trading volumes (source: ESMA[3]). In other words, the implicit exemption or out-of-scope rate is approximately 86.7%. This reflects the narrowness of the current French design: the tax applies to transfers of ownership recorded at the end of the day, not to all intraday transactions. Paradoxically, the most short-term transactions are therefore largely left outside the tax base.

The same implicit tax ratio is then applied to the equity trading volume of each Member State.[4] The estimate at a 0.4% statutory rate is given by:

$$R_i^{0.4} = T_i \times \frac{1,860}{3,502,800},$$

where T_i is the total equity trading volume in Member State i. The estimate at a 0.5% rate is obtained by assuming a proportional increase in revenue:

$$R_i^{0.5} = R_i^{0.4} \times \frac{0.5}{0.4}.$$

Table 1.1 reports the revenues estimated using this approach for each EU Member State. Overall, an EU-wide equity transfer tax at a 0.5% rate would raise approximately EUR 6.25 billion per year. This should be interpreted as an estimate for a narrow tax on equity transfers, not as an estimate for a broader FTT including bonds, derivatives or intraday transactions.

Table 1.1: Estimated revenues by EU Member State

[3] ESMA, *ESMA statistics on securities and markets*, ESMA11-239717167-20877.

[4] For some Member States, ESMA reports no equity trading volume in the dataset used for this exercise. These entries are therefore kept at zero for consistency, but they should not be interpreted as implying the complete absence of equity market activity.

Member State	Code	Equity trading volume EUR million	Estimated revenue EUR million, 0.5% rate
Austria	AT	29,800	19.8
Belgium	BE	69,000	45.8
Bulgaria	BG	200	0.1
Cyprus	CY	900	0.6
Czechia	CZ	4,300	2.9
Germany	DE	1,802,500	1,196.4
Denmark	DK	128,600	85.4
Estonia	EE	100	0.1
Spain	ES	271,900	180.5
Finland	FI	91,900	61.0
France	FR	3,502,800	2,325.0
Greece	GR	25,700	17.1
Croatia	HR	300	0.2
Hungary	HU	6,700	4.4
Ireland	IE	272,800	181.1
Italy	IT	615,200	408.3
Lithuania	LT	100	0.1
Luxembourg	LU	0	0.0
Latvia	LV	0	0.0
Malta	MT	0	0.0
Netherlands	NL	2,215,800	1,470.7
Poland	PL	71,200	47.3
Portugal	PT	28,100	18.7
Romania	RO	2,200	1.5
Sweden	SE	277,000	183.9
Slovenia	SI	500	0.3
Slovakia	SK	0	0.0
European Union	EU27	9,417,600	6,251.0

The distribution of revenues would be highly concentrated. France alone would account for about 37% of total EU revenue, followed by the Netherlands with 23.5% and Germany with 19.1%. Together, these three countries would generate almost 80% of the total. Including Italy brings the share to around 86%. This concentration reflects the geography of equity trading within the EU rather than any specific assumption about tax capacity or political preferences.

This concentration has two implications. First, the fiscal potential of the measure depends on a small number of large and liquid equity markets. Second, from an own-resources perspective, the tax would not mechanically generate revenue in proportion to Member States' GDP or population. This is not necessarily a weakness: the tax is designed to capture activity in financial markets, and market activity itself is highly concentrated. But it does mean that the allocation of revenues and the political presentation of the measure would need to be carefully designed.

5 Responses to common objections

The debate on FTTs is marked by a recurring set of objections. Many of them are serious and should not be dismissed. However, they often refer to very broad FTT schemes, whereas the proposal considered here is narrower: a tax on equity ownership transfers, based on the issuance principle, at a moderate rate. This distinction is crucial. The question is not whether any possible FTT would be desirable, but whether this specific design can provide a robust and workable own resource.

1. **The FTT would reduce market liquidity.**

   This objection is partly correct but often overstated. A transaction tax increases the cost of trading and is therefore expected to reduce trading volumes. This is not necessarily a problem. A fall in very short-term trading is one of the intended effects of such a tax, especially when a large share of market activity consists of rapid, low-margin transactions whose social value is uncertain.

   The relevant question is not whether turnover declines, but whether useful liquidity is harmed. Existing evidence on modern, low-rate equity FTTs suggests that turnover may fall, but without clear evidence of significant deterioration in liquidity or volatility (International Monetary Fund, 2010; Colliard and Hoffmann, 2017).

   The Swedish case is often used as an argument against FTTs, but its main problem was poor design: the tax was linked to domestic intermediaries and was therefore easy to avoid by relocating transactions. It is not evidence that a well-designed issuance-based tax necessarily decreases liquidity. The proposal considered here focuses on ownership transfers and can preserve exemptions for genuine market-making activities.

2. **The FTT would increase volatility.**

   The theoretical effect of an FTT on volatility is ambiguous. If all market participants are perfectly rational and liquidity is always beneficial, then a tax may appear harmful. But if markets also include noise trading, herding, excessive short-termism or self-reinforcing speculation, then reducing some transactions may improve rather than worsen price formation (Matheson, 2011; McCulloch and Pacillo, 2011).

   Empirically, the claim that FTTs mechanically increase volatility is not supported by the experience of existing low-rate equity taxes.

3. **The FTT would raise the cost of capital for firms.**

   The link between an equity transfer tax and the cost of capital is indirect. The tax applies to secondary-market transactions, not to primary issuance. It therefore does not directly tax firms when they raise new equity. Any effect on the cost of capital would have to operate through investors' required returns, market liquidity or valuation effects.

   For long-term investors, the cost of a small FTT is spread over the holding period and is therefore limited. In addition, if the tax reduces trading frequency, the increase in the unit cost of trading may be partly offset by a fall in the number of transactions. This is why the effect on firms' cost of capital is likely to be tiny (at best) for a moderate tax applied to liquid equity markets.

4. **The FTT would harm investment and competitiveness.**

   This objection assumes that the presence of a FTT makes a financial centre unattractive. Existing experience suggests otherwise. The United Kingdom has maintained a stamp duty on share transactions for centuries while remaining one of the world's leading financial centres. France, Italy and Spain have also introduced modern equity FTTs without undermining the functioning of their equity markets.

   Competitiveness concerns should therefore be assessed in relation to the design of the tax. A badly designed tax can create distortions. A tax based on the issuance principle, applied at a moderate rate and limited to equity transfers, is much less likely to damage competitiveness than a tax based only on the location of intermediaries or trading venues.

5. **The FTT would lead to relocation.**

   Relocation is a serious risk when the tax is based on the location of the broker, the exchange or the intermediary. This was the central weakness of the Swedish experiment in the 1980s. It is not the logic of the proposal considered here.

   Under the issuance principle, the tax follows the security, not the marketplace. A share issued by a company in a participating Member State remains within the scope of the tax even if it is traded through a foreign intermediary or on an alternative platform. This substantially limits the scope for relocation, because moving the transaction does not remove the underlying security from the tax base.

6. **The FTT would be easy to avoid.**

   Avoidance is possible for any tax, but the risk is much lower when the tax is attached to the transfer of legal ownership. The British stamp duty illustrates this logic: the tax is connected to the recognition and settlement of ownership. The French system also shows that an equity transfer tax can be implemented in a modern, highly internationalised market.

   The main remaining issue is substitution towards untaxed instruments or arrangements, including derivatives. This is a valid concern. However, the proposal examined here is deliberately conservative and focuses on the most robust part of the tax base: equity ownership transfers. Additional anti-avoidance rules could be considered if substitution became significant, but the existence of possible avoidance margins is not a reason to abandon the tax altogether.

7. **The FTT would hit ordinary savers.**

   This objection is often politically powerful but economically incomplete. The direct payer may be the buyer of the share, but the economic incidence of the tax depends on trading behaviour, portfolio structure and market intermediation. Ordinary savers typically trade much less frequently than professional intermediaries or short-term investors. For buy-and-hold investors, the effective annual cost of a small transaction tax is not significant.

   Moreover, the incidence of the tax is not concentrated on ordinary households. A large share of the tax is collected from foreign investors, and equity ownership is itself highly concentrated among wealthier households. The tax therefore has a redistributive dimension, especially compared with broad-based taxes on labour or consumption.

8. **The FTT would penalise market-making and useful liquidity provision.**

This is a design issue rather than a decisive objection. Existing systems already include exemptions for market-making activities. The objective is not to tax the provision of genuine liquidity, but to tax ownership transfers while avoiding unnecessary disruption to the functioning of markets.

The key challenge is to define exemptions carefully. If they are too narrow, useful liquidity provision may be affected. If they are too broad, the tax base is eroded. The proposal should therefore preserve market-making exemptions, while ensuring transparency and effective monitoring.

9. **The FTT would be administratively complex to collect.**

   The practical experience of existing taxes suggests the opposite. Equity transfer taxes can be collected through settlement, reporting or central securities infrastructure. The UK stamp duty and the French FTT show that such taxes are technically feasible.

   That said, the quality of the collection mechanism matters. The French experience also shows that transparency, access to data and administrative control are important. A European own resource should therefore be designed with clear reporting obligations and strong cooperation between tax authorities, market supervisors and settlement infrastructures.

10. **The FTT would generate uncertain or disappointing revenues.**

    Revenue uncertainty exists for all taxes, especially those linked to market activity. But the estimation method used here is deliberately conservative. It does not assume that all equity trading volumes are taxed. Instead, it starts from observed French revenue and applies the corresponding implicit tax ratio to other Member States.

    This approach already incorporates the main exemptions and the fact that intraday transactions are largely outside the tax base. The resulting estimates should therefore be understood as estimates for a narrow equity transfer tax, not for a broad tax on all financial transactions. The proposal does not rely on optimistic assumptions about taxing the entire volume of market activity.

11. **The FTT would require global coordination.**

    A global agreement would increase the revenue potential of an FTT, but it is not a precondition for implementation. The UK, France, Italy and Spain have all implemented equity transaction or transfer taxes without waiting for a global agreement.

    The reason is again the issuance principle. If the tax is attached to shares issued in the taxing jurisdiction, it can operate even when investors, intermediaries or trading venues are located abroad. International coordination is desirable, but it is not technically indispensable for a narrow equity transfer tax.

12. **The FTT is the wrong instrument for financing EU priorities.**

    The FTT should not be presented as a universal solution. It will not, by itself, repay NextGenerationEU, solve fiscal sustainability issues or regulate financial markets. But this is not the relevant benchmark. The question is whether it can be one own resource among several.

    As one component of a broader package, an equity transfer tax has several advantages: it is already tested, it can raise revenue from a large and highly internationalised tax base, it has a redistributive profile, and it is connected to an activity that is currently only lightly taxed relative to its scale. It is therefore a plausible and coherent own-resource candidate.

13. **The FTT is politically unrealistic.**

    The failure of the previous European FTT project is often cited as proof that the idea is politically impossible. This conclusion is too strong. The earlier EU proposal was much broader: it covered several categories of financial instruments, including derivatives, and raised complex questions about scope, allocation and cross-border effects.

    The proposal examined here is much less ambitious. It is closer to existing national policies and focuses only on equity ownership transfers. This narrower design does not eliminate political difficulties, but it changes their nature. It is easier to defend a pragmatic extension of instruments that already exist in several major financial markets than to reopen the entire debate on a comprehensive European FTT.

6 Assessment of political feasibility and EU decision-making procedures

The political feasibility of an EU equity transfer tax should be assessed with some caution. The measure is technically feasible and already exists in several European countries, but taxation remains one of the most politically sensitive areas of EU decision-making. The relevant question is therefore not whether such a tax can be designed or collected, but whether Member States can agree to turn it into a European own resource.

From a legal and institutional point of view, two issues must be distinguished. First, if the tax is introduced as a genuine EU own resource, it falls under the own-resources procedure. Under Article 311 TFEU, the Council must act unanimously after consulting the European Parliament, and the decision does not enter into force until it has been approved by all Member States in accordance with their constitutional requirements.[5] This makes the procedure demanding, since a single Member State can block the adoption of a new own resource.

Second, if the proposal requires harmonised rules on the taxation of financial transactions, it would also raise issues of tax harmonisation. The previous European FTT proposal was based on Article 113 TFEU, which concerns the harmonisation of indirect taxes necessary for the functioning of the internal market and the avoidance of distortions of competition. In that framework too, unanimity in the Council is required. The enhanced-cooperation route can reduce the number of participating countries, but it does not remove the need for agreement among those participating Member States. In the case of the 2013 FTT proposal, adoption of the implementing directive required unanimous agreement of the participating countries within the Council, after consultation of the European Parliament and the European Economic and Social Committee.[6]

The historical record is therefore mixed. On the one hand, there has been clear political support for an FTT in several large Member States. France, Italy and Spain have already introduced national equity transaction taxes. Germany, France, Italy, Spain, Belgium, Austria, Greece, Portugal, Slovenia and Slovakia were part of the enhanced-cooperation process after the failure of the EU-wide proposal, with Estonia initially involved before withdrawing. On the other hand, the previous European project never reached agreement. The 2011 EU-wide proposal failed because unanimity could not be obtained, and the 2013 enhanced-cooperation proposal remained blocked for years. In

[5] Article 311 of the Treaty on the Functioning of the European Union.

[6] European Parliament, Legislative Train Schedule, *Financial Transaction Tax*.

2023, the Commission stated that the prospects of reaching agreement were limited, and its 2026 work programme indicated an intention to withdraw the pending FTT proposal.[7]

Past national positions also suggest where political resistance may arise. During the earlier debate, Bulgaria, Luxembourg, Malta, Sweden, the Czech Republic and the United Kingdom formally opposed the move towards enhanced cooperation, while Ireland and Latvia expressed reservations without opposing the principle.[8] The United Kingdom is no longer a Member State, but the other cases remain relevant as indicators of likely concerns: protection of domestic financial centres, fear of relocation, reluctance towards new EU-level taxation, and scepticism about partial implementation.

The proposal examined in this annex is, however, significantly less ambitious than the earlier European FTT. It does not cover all financial instruments, all markets or derivatives. It does not seek to tax all gross intraday transactions. It is instead limited to equity ownership transfers, modelled on existing national schemes and based on the issuance principle. This narrower design improves political feasibility in three ways. First, it is easier to explain: it is not a new and untested tax, but an extension and harmonisation of instruments already used in major markets. Second, it reduces the scope of technical objections, especially those related to derivatives and market-wide relocation. Third, it produces more conservative revenue estimates, because it does not rely on taxing the full volume of financial transactions.

There remains, nevertheless, an important political difficulty. The estimated revenues are highly concentrated in a small number of Member States, especially France, the Netherlands and Germany. This concentration reflects the geography of equity trading in Europe, but it may complicate negotiations if the tax is perceived as falling disproportionately on a few financial centres while the revenues accrue to the EU budget as a whole. This issue is not specific to the FTT, but it would need to be addressed explicitly in the political presentation of the proposal.

Overall, the political feasibility of the proposal can be described as moderate rather than high. An EU-wide own resource based on an equity transfer tax would face the same institutional obstacle as all new own resources: unanimity and national approval. The failure of the previous European FTT also shows that political resistance should not be underestimated. However, the narrower design proposed here makes the measure more feasible than the earlier Commission project. It is closer to existing national experience, less exposed to technical controversy, and better suited to being presented as a pragmatic own-resource option rather than as a comprehensive reform of financial taxation.

A realistic political strategy would therefore avoid reopening the full 2011–2013 FTT debate. It should instead emphasise the limited scope of the proposal, the precedent of existing national equity taxes, the robustness of the issuance principle, and the specific need to create credible new own resources for the repayment of NextGenerationEU.

7 Review of existing surveys on public opinion

Public opinion is one of the relative strengths of the FTT proposal. The available evidence should nevertheless be interpreted with caution. The most detailed EU-wide survey is now somewhat dated, while the most recent survey evidence covers only a limited number of Member States. Taken together, however, the results point to a consistent pattern: financial transaction taxes tend

[7] European Parliament, Legislative Train Schedule, *Financial Transaction Tax*; European Commission, Work Programme 2026.

[8] Fondation Robert Schuman, *The European Tax on Financial Transactions: from principle to implementation*, 2013.

to attract broad public support, especially when they are presented as a way to make the financial sector contribute to public goods, development, climate action or the costs of crises.

The main EU-wide reference remains the 2011 Eurobarometer survey commissioned by the European Parliament in the aftermath of the financial crisis.[9] In that survey, 61% of Europeans supported the principle of a tax on financial transactions, while 26% were opposed and 13% expressed no opinion. Support was higher in euro area countries, at 63%, than in non-euro area countries, at 54%. The wording of the question explicitly stated that the tax would be very low and would apply to transactions between financial operators, not to the general public.

The same survey also provides useful information on the reasons behind public support. Among respondents in favour of the principle of the tax, the main motivation was to combat excessive speculation and help prevent future crises, followed by the idea that financial actors should contribute to the costs of the crisis. Reducing public deficits and financing innovative policies, including climate, environment and development aid, were also mentioned, but less frequently. This suggests that the public appeal of the FTT is linked not only to revenue-raising, but also to a broader perception of fairness in the taxation of the financial sector.

The objections expressed by opponents in the 2011 survey were also informative. Among those opposed to introducing the tax at EU level as a first step, the main concern was feasibility: some respondents believed that such a tax could only be introduced globally. Other concerns related to competitiveness, the risk that only European financial actors would contribute, and possible capital outflows from the EU. These objections closely mirror the arguments raised in the policy debate. They also reinforce the importance of explaining why the proposal considered here is narrower, issuance-based, and modelled on existing national systems.

More recent evidence is provided by a 2024 survey conducted by Focus 2030 and Stack Data Strategy in France, Germany and Italy, ahead of the European Parliament elections.[10] The survey was carried out between 16 and 22 February 2024, with representative samples of around 1,500 respondents in each of the three countries. It found that 57% of respondents supported a European financial transaction tax, while 80% were either in favour or would not oppose such a tax if it were used to finance the fight against global poverty and climate change. Only 13% opposed the measure. Support, or non-opposition, was highest in France, at 82%, with only 9% opposed.

This recent survey is not a substitute for a full EU27 Eurobarometer, but it is politically relevant. France, Germany and Italy are among the largest Member States and were central to previous European discussions on the FTT. The 2024 results suggest that, in these countries at least, a European FTT linked to global public goods and climate finance does not appear to carry a major public-opinion cost. The measure remains more popular among left-leaning voters, but opposition remains limited overall.

The conclusion is therefore nuanced. Public opinion cannot by itself overcome the institutional obstacles to a new EU own resource, especially unanimity in the Council and national approval procedures. However, public opinion does not appear to be the main constraint. Available surveys suggest that the FTT is more popular than many other tax instruments, especially when framed as a modest levy on financial transactions rather than a tax on ordinary households. From a political communication perspective, the strongest framing is therefore not technical harmonisation, but fairness: a small contribution from financial-market activity to finance common European and global priorities.

[9] European Parliament, *Eurobarometer 75.2: Europeans and the Crisis*, Analytical synthesis, June 2011.

[10] Focus 2030 and Stack Data Strategy, *Survey: citizen opinions in France, Italy and Germany on the role of the European Union in international development ahead of the elections*, March 2024.

8 Possible extensions

The proposal examined in this annex is deliberately narrow. It focuses on equity ownership transfers, following existing national models such as the UK stamp duty and the French FTT. This narrow design is an advantage at the adoption stage: it is simple, already tested, and easier to defend politically than a comprehensive tax on all financial instruments.

However, once such an EU equity transfer tax is established, two extensions could be considered. The first would consist in broadening the base to include intraday equity transactions. The second would consist in greening the FTT, either through the use of revenues or through differentiated tax rates linked to environmental performance. Other possible extensions, notably to derivatives, foreign-exchange transactions or crypto-assets, could be considered at a later stage, but they raise additional technical and political issues. They are therefore not included in the core proposal.

8.1 Extension to intraday equity transactions

The first possible extension concerns intraday equity transactions. Under the French model, the tax applies to net acquisitions recorded at the end of the trading day. As a result, transactions opened and closed within the same day are, in practice, outside the tax base. This is a major limitation. It means that the most short-term transactions, including many high-frequency trading strategies, are largely exempt from a tax whose original rationale was partly to discourage excessive short-termism.

The revenue implications are significant. In the French case, the effectively taxed base represents only a small share of total equity trading volumes. This reflects the combination of legal exemptions, the exclusion of intraday trading, and the fact that the tax is collected on transfers of ownership rather than on all transactions. Extending the tax to intraday transactions would therefore broaden the base and could substantially increase revenues without increasing the statutory rate.

Such an extension would also improve the coherence of the tax. From an economic point of view, it is difficult to justify taxing long-term investors while leaving the fastest and most speculative transactions outside the scope of the tax. A tax that includes intraday trades would be better aligned with the argument that the FTT should modestly lengthen investment horizons and reduce the relative advantage of ultra-short-term strategies.

The main obstacle is operational rather than conceptual (Capelle-Blancard, 2024b). A tax on ownership transfers can be collected through central securities depositories such as Euroclear. By contrast, a tax on intraday transactions requires reliable information at the level of order execution and trading venues. This calls for a different collection architecture. In the French case, one possible solution would be to rely more directly on the tax administration, with the support of the financial market supervisor, since MiFID II reporting already provides regulators with rich transaction-level data.

At EU level, this extension would therefore require a stronger reporting and control framework. It would also require careful exemptions for genuine market-making activities, so as not to impair useful liquidity provision. For this reason, intraday taxation should be presented as a second-stage reform. The priority is to establish a robust equity transfer tax; once the legal and administrative framework is in place, the extension to intraday transactions would be the most natural way to broaden the base, improve fairness and increase revenues.

8.2 A green FTT

A second possible extension would consist in greening the FTT. This can be understood in two complementary ways. The first is the use of revenues: part of the proceeds could be allocated to climate finance, environmental investment, biodiversity protection, adaptation, or international solidarity. The second is the design of the tax itself: rates could be differentiated according to the environmental performance of issuers (Capelle-Blancard, ming).

The first dimension is the simplest. The FTT is well suited to financing global public goods because it raises revenue from large, internationalised and relatively undertaxed financial-market activity. Earmarking revenues is not always consistent with standard budgetary principles, but linking part of the proceeds to climate or environmental objectives may strengthen public acceptability. It also gives the tax a clearer political purpose: a modest contribution from financial markets to the financing of long-term collective priorities.

The second dimension is more innovative. A green FTT could apply a lower rate to shares issued by firms that meet credible environmental criteria, and/or a higher rate to shares issued by firms with poor environmental performance. This would create a bonus-malus system. The aim would not be to replace carbon pricing, environmental regulation or the EU taxonomy, but to complement them through a financial-market instrument. The tax would operate through the financial sphere, by combining revenue-raising with a modest incentive to favour longer-term and more sustainable investment.

This extension should not be oversold. The direct effect of differentiated FTT rates on firms' cost of capital is likely to be limited. The main value of the green differential may be fiscal, symbolic and political: it would align the taxation of financial transactions with the broader objectives of sustainable finance and climate transition. It would also help address the gap between the financial sector's public commitment to sustainability and its reluctance to contribute financially to the transition.

The main difficulty is measurement. A differentiated green FTT requires a credible classification of issuers. Existing sustainability indicators and ESG ratings remain imperfect, and they are sensitive to methodological choices, data availability and aggregation rules. There is also a risk of greenwashing or strategic reclassification. These limitations are real, but they are not specific to the FTT. Most environmental policies rely on imperfect but improving measurement systems. The relevant question is not whether sustainability can be measured perfectly, but whether available classifications are robust enough to support a modest and transparent differentiation of tax rates.

For this reason, a green FTT should be seen as a gradual extension rather than as a prerequisite for adoption. The EU already has a developing sustainable-finance architecture, including taxonomy and disclosure rules. As these tools mature, they could provide the informational basis for a differentiated FTT. In the meantime, the simpler version of the proposal could already be implemented, with the possibility of assigning part of the revenues to climate-related objectives.

Overall, these two extensions point in the same direction. The core proposal is a pragmatic equity transfer tax. The intraday extension would broaden the base and improve fiscal fairness. The green extension would align the instrument with environmental objectives and strengthen its political legitimacy. Neither extension is necessary for the initial adoption of the tax, but both could make a European FTT more coherent and more ambitious over time.

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A One-Off Wealth Tax to Fund a Sovereign EU Fund

Adrien Fabre

Who owns and steers Europe's productive capital, from critical infrastructure to frontier technologies, is a first-order public question. Through sovereign wealth funds (SWFs), citizens of some 40 jurisdictions hold a collective stake in large firms and long-term investments. Such funds are no longer the preserve of resource-rich states: China, Singapore, Australia and South Korea each run one worth more than 10% of their GDP, and Canada launched a national fund in 2026 financed by public debt. Worldwide, SWFs manage assets worth close to 13% of global GDP, yet the European Union has no comparable fund.

This appendix argues that the EU should build one and finance it with an exceptional, one-off tax on large individual wealth. The revenue could serve as a new own resource paid into the EU budget, or repay the common NextGenerationEU debt contracted during the Covid crisis, but we propose a more strategic use. Sized at 5% of EU GDP, the levy would build up a fund whose assets would eventually reach about twice that common debt, so that its long-run dividends would exceed the interest owed several times over. Rather than shrink the Union's balance sheet by repaying the debt, we would invest the proceeds, at a time when major investments are needed for the ecological transition and for competitiveness. The underlying levy is, in any case, fair, popular and non-distortive.

The proposal deliberately avoids the pitfalls that have historically undermined recurrent wealth taxes. It is a *one-off* levy, assessed on the net wealth each resident holds on a single reference date (1 January 2027), and paid over thirty years at low annual marginal rates: 0.1% on wealth between EUR 1 and 10 million, 0.3% between EUR 10 and 100 million, and 0.5% above EUR 100 million. Because the base is fixed in the past, the levy is a lump sum in the economic sense: no decision taken after 2027, whether to invest, to found a company or to emigrate, can change what is owed, so the tax does not distort future accumulation and activity. The low annual rates keep the tax non-confiscatory and comfortably within constitutional bounds. Liquidity is addressed head-on: payment is reduced if a taxpayer's wealth drops and the taxpayer may pay in company shares. Finally, a Deferral Account guarantees that the levy is enforced if the taxpayer emigrates or dies.

The proposal adapts the deferral and one-off mechanism designed for the Californian wealth-tax bill (California State Legislature, 2023). It adopts the low-rate one-off logic of Pisani-Ferry and

Mahfouz (2023), who recommended an exceptional levy of 5% of GDP spread over thirty years to finance the climate transition.

The instrument also rests on solid economic foundations. Farhi (2010) shows that a one-off capital levy is the efficient response to a negative fiscal shock, precisely the case created by the pandemic-era debt, the security build-up and the financing of the transition. Progressive wealth taxation is independently justified on distributive grounds: Saez and Zucman (2019) argue that it is the most appropriate tool for restoring progressivity at the very top, since the ultra-wealthy report little taxable income.

The remainder covers the proposal (Section 1), revenue estimates (2), interaction with existing taxes (3), objections (4) and variants (5).

1 Proposal

1.1 A one-off tax, payable over thirty years

We propose a one-off tax on individual net wealth, assessed on the wealth each resident holds on 1 January 2027. The tax is strictly individual: wealth is attributed to natural persons, with couples assessed on their respective shares, so as to avoid the marriage penalties and avoidance opportunities associated with household-level assessment.

The headline schedule is a one-off liability levied at the following marginal rates: 3% on the fraction of individual wealth between EUR 1 and 10 million, 9% on the fraction between EUR 10 and 100 million, and 15% on wealth above EUR 100 million. This liability is not due immediately. It is spread over thirty years, so that in any given year the taxpayer owes one thirtieth of the total: the annual tax schedule is 0.1% on wealth between EUR 1 and 10 million, 0.3% between EUR 10 and 100 million, and 0.5% above EUR 100 million. These annual rates are deliberately calibrated well below the return on capital, so that the tax can in principle be paid out of the income the wealth generates, leaving the principal intact.

The one-off character is the central design choice. A permanent wealth tax changes the incentive to accumulate, to invest and to remain resident on an ongoing basis; the empirical literature finds that such taxes can generate behavioural responses, from portfolio reshuffling to migration (Brülhart et al., 2022; Durán-Cabré et al., 2019). A one-off tax assessed on a past reference date is, by construction, a lump-sum tax: it does not distort decisions taken after the reference date, because no future choice can change the liability. This is the classical efficiency argument for capital levies, and it is the reason Pisani-Ferry and Mahfouz (2023) and the Californian bill favoured an exceptional rather than a recurrent instrument.

1.2 Payment, deferral and the annual minimum

Each year, the taxpayer must pay the *smaller* of two amounts: (i) one thirtieth of their initial liability, indexed to inflation and increased by a deferral charge; or (ii) the annual schedule (0.1% / 0.3% / 0.5%) applied to their *current* wealth. The second option protects taxpayers whose wealth has fallen: someone who has become poorer since 2027 pays less, in line with their ability to pay. The tax ceases to be owed after thirty years of payment, or earlier if the taxpayer settles their remaining liability in full.

The deferral charge reflects the fact that postponing payment is equivalent for the taxpayer to paying upfront, hence it reflects the return the taxpayer earns on the deferred sum. We set it at 3%

per year for the tax due below EUR 10 million, 5% between EUR 10 million and 100 million, and 7% above EUR 100 million. These figures are aligned with the empirically documented gradient of returns to wealth: larger portfolios earn systematically higher average returns (Chancel et al., 2022). Aligning the charge with the return on capital ensures that deferral is neither confiscatory nor a subsidy to the wealthy, and removes the incentive to game the timing of payments.

1.3 Payment in kind

Liquidity constraint is the objection most often raised against wealth taxes: a taxpayer may be rich on paper yet hold most of their wealth in illiquid form, such as a stake in an unlisted company, real estate or an art collection, that generates little cash, so that a tax payable in cash could force them to sell assets, sometimes at a discount.

The proposal neutralises it through a graduated set of payment options. First, the administration accepts payment in non-cash liquid assets, in particular shares in listed companies, valued at market price on the day of transfer. A taxpayer whose wealth consists mainly of a quoted equity stake can therefore discharge the tax without selling on the market and without any cash outlay. Second, on a case-by-case basis, the administration may accept payment in illiquid assets, such as shares in non-listed companies, to the extent that the taxpayer's liability exceeds their liquid assets. This mirrors the logic of the Californian bill, which allowed liquidity-constrained taxpayers holding designated highly illiquid assets (typically start-up equity) to attach a claim to those assets rather than face an immediate cash assessment (California State Legislature, 2023).

Payment in shares has an important corollary for the objection that a wealth tax penalises young, capital-intensive firms relative to established ones. Because the founder of a start-up can hand over a fraction of their shares rather than cash, the tax does not force the sale of the company and it does not require the firm to distribute dividends it cannot afford. In case where the tax could make the taxpayer lose control over their company (by reducing their stake below 50%), the administration may accept payment in non-voting shares.

1.4 Deferral Accounts

Unless they settle their entire liability in the first year, taxpayers must open a Deferral Account (DA): a contract with the State to which they attach assets of sufficient value to cover the tax liability. The DA has two functions. It secures the State's claim: the outstanding liability is recovered when the taxpayer dies or moves their tax residence outside the EU, whichever comes first, and the account is closed only once the tax has been paid in full. It supports the payment-in-kind mechanism, since attached assets can be realised to discharge the debt.

A missing payment triggers a penalty equal to inflation plus 10% per year on the overdue amount. This penalty accrues within the DA and is ultimately recovered when the attached assets are sold or generate dividends, so that non-payment is costly but never forces an immediate ownership transfer. The combination of low annual rates, deferral, payment in kind and asset-backed recovery is what makes the tax simultaneously enforceable, non-distortive and respectful of taxpayers' liquidity constraints and asset control.

1.5 Governance and mandate of the fund

The proceeds endow a European sovereign wealth fund under democratic control. Its board would be appointed by the political groups of the European Parliament, each group naming board members and exercising a voting right proportional to its number of seats in the Parliament, so that the fund's direction reflects the Union's democratic balance rather than the discretion of a single executive.

The fund's mandate would be threefold: to hold a broadly diversified portfolio of equities, so as to spread risk and secure a stable return; to steer the ecological transition; and to select strategic investments that strengthen Europe's future-preparedness. On the model of the recent Canadian national fund, the mandate would give priority to *primary* investments (initial public offerings, capital increases and other subscriptions of newly issued equity) in European companies with a strategic dimension or a sustainable project, so that the fund channels fresh capital into productive investment rather than mostly reallocating ownership of existing shares.

2 Revenue estimates

2.1 Method and assumptions

Revenue is estimated by microsimulation on the 2023 wealth distributions of the World Inequality Database (WID).[1] Two successive haircuts are applied to the base throughout: 15% for asset-price depreciation and a further 15% for evasion and valuation discounts.

Table 2.1's revenue figures are those of the proposed tax's three marginal bands. Column a is the 0.1% levied on the slice of wealth between EUR 1 and 10 million; column b the 0.3% on the slice between EUR 10 and 100 million; and column c the 0.5% on all wealth above EUR 100 million. The central scenario is the sum of these three bands, $a + b + c$ (also shown as a share of 2023 GDP). Column d reports a separate band that does not belong to the central schedule: a 2% rate on wealth above EUR 1 billion, used only to illustrate a top-heavy variant that would use 2% as the marginal rate on billionaire wealth, so that the top-heavy figure is $c + \frac{3}{4}d$. All figures are in EUR million per year.

2.2 Results

The central scenario, which combines the three low brackets, raises about EUR 26 billion per year for the EU, or close to EUR 790 billion over the thirty-year horizon. This represents 4.5% of EU GDP, in the range of the 5%-of-GDP benchmark independently proposed by Pisani-Ferry and Mahfouz (2023) to finance the French energy transition, and about twice the EU's common (NextGenerationEU) debt. The revenue broadly tracks the distribution of large fortunes across the Union: Germany, France, Italy and Spain together account for 75% of total revenue. This geographic profile is a feature rather than a drawback. The proceeds are not consumed but channelled into a European fund that reinvests in productive companies; a fund managed on a competitiveness logic would in any case direct much of its capital towards the Member States that host Europe's largest

[1] For most Member States, we use the tabulation that underlies the WID Wealth Tax Simulator, which reports, for a grid of euro thresholds, the total net wealth and the number of adults above each threshold. This dataset is the more adequate source, for two reasons: its grid already includes the statutory cut-offs (EUR 1, 10, 100 million and 1 billion), so each bracket's base can be read off directly; and it smooths the top tail, so it resolves the extreme fortunes on which the upper brackets depend. The eleven smaller Member States that the simulator omits are completed from the raw WID distributional-national-accounts data, which report the average wealth within each of 127 population brackets, up to the top 0.001%. Applying the schedule to those bracket averages reproduces the lower brackets well but resolves the very top less finely. Because these states are small (their combined contribution is about EUR 0.6 billion), this has no material effect on the EU total.

firms, so that the country pattern of contributions and the country pattern of investment would broadly coincide.

These estimates are deliberately conservative for two reasons. They cut the base by two successive 15% haircuts, both generous. The 15% allowance for evasion and valuation discounts sits well above the leakage a well-enforced one-off levy should suffer: Seim (2017) finds that the taxable base contracts by at most 1% in the short run, and Advani and Tarrant (2021) put the medium-run figure at less than 10% for a 0.5% wealth tax. The 15% allowance for depreciation is also cautious, and compounded by our use of 2023 wealth data. Indeed, the tax would be assessed on wealth held on 1 January 2027: since asset prices have risen since 2023, the true 2027 base, and hence the revenue, would be larger.

Table 2.1: Estimated revenue of a one-off wealth tax in the first year, by EU Member State (EUR million per year) The GDP column reports annual central revenue as a share of GDP.

Country	a 0.1% on 1–10M	b 0.3% on 10–100M	c 0.5% >100M	Central $(a+b+c)$	Central % GDP	d 2% >1 bn	Top $(c+\frac{3}{4}d)$
Germany	3,050	2,702	2,592	8,344	0.20%	4,963	6,315
France	1,994	1,378	3,298	6,670	0.24%	8,812	9,907
Italy	1,177	448	994	2,618	0.13%	1,327	1,989
Spain	851	434	866	2,151	0.14%	1,409	1,923
Austria	296	287	337	920	0.19%	841	967
Netherlands	585	109	220	913	0.09%	182	356
Belgium	500	37	186	722	0.12%	527	581
Sweden	260	140	312	712	0.14%	829	934
Poland	169	196	196	560	0.08%	170	323
Denmark	199	145	188	533	0.14%	441	519
Czechia	74	44	230	348	0.11%	489	597
Ireland	247	14	70	331	0.06%	69	122
Portugal	187	109	35	330	0.12%	48	70
Luxembourg	56	37	115	208	0.25%	305	343
Hungary	53	62	93	208	0.10%	8	99
Finland	58	12	82	152	0.05%	84	145
Romania	39	37	46	121	0.03%	20	61
Greece	64	17	36	118	0.05%	0	36
Slovenia	18	18	38	75	0.11%	0	38
Cyprus	11	2	33	46	0.14%	0	33
Bulgaria	13	14	13	40	0.04%	0	13
Croatia	18	12	6	36	0.05%	0	6
Lithuania	14	10	7	31	0.04%	0	7
Estonia	14	9	6	29	0.08%	0	6
Latvia	9	8	3	20	0.05%	0	3
Slovakia	12	7	0	19	0.02%	0	0
Malta	9	0	0	9	0.04%	0	0
EU-27 total	**9,978**	**6,287**	**10,000**	**26,264**	**0.15%**	**20,525**	**25,394**

3 Interaction with existing taxes

The proposed levy would be *additional* to, not a substitute for, the taxes Member States already apply to wealth. Within the EU only Spain still operates a comprehensive recurrent net-wealth tax, and the few other national instruments are narrow. Crucially, all of them share a feature that the present proposal deliberately avoids: they largely spare the business assets that make up the bulk of very large fortunes, so the overlap with our levy is small.

Spain is the leading case. Its recurrent wealth tax is regionally administered, and several regions (notably Madrid and Andalusia) had granted 100% relief until the central government introduced, in 2022, a Solidarity Tax on Large Fortunes (ITSGF) to reclaim that base, with marginal rates of 1.7% above EUR 3 million up to 3.5% above 11 million. Yet the Spanish tax exempts business assets: shares held by owner-managers who hold a qualifying stake, play a managerial role and draw most of their income from the firm are relieved, and the primary residence is partly exempt. On top of this, a cap limits the combined income-and-wealth-tax bill to 60% of taxable income; but the resulting relief may not exceed 80% of the wealth-tax liability, so that at least 20% of it is always due (Article 31 of Law 19/1991). In practice this floor caps the effective wealth-tax rate of the asset-rich but income-poor at one fifth of the statutory rate, about 0.7% rather than the headline 3.5%. Together these carve-outs and caps let the very wealthiest largely escape the tax, and avoidance responses to it are well documented (Directorate-General for Taxation and Customs Union (European Commission), 2026).

France abolished its general wealth tax (ISF) in 2018 and replaced it with a narrow tax on real-estate wealth (IFI), at 0.5%–1.5% on net property above EUR 1.3 million, leaving financial and business wealth untaxed.

The Netherlands has no more net-wealth tax: its "Box 3" regime taxed a notional return on savings and investments within the income tax, an approach the Supreme Court struck down in 2021 and again in 2024 (Section 4). From 2028 it is to be replaced by the Box 3 Actual Return Act, which taxes the *real* return on wealth: an annual mark-to-market (accrual) tax on the change in value of most assets and debts, combined with a realisation-based capital-gains tax on real estate and on shares in start-ups. This remains a tax on the return to wealth, not on the wealth stock itself, and so leaves the base our levy targets untouched.

Belgium levies a 0.15% annual tax on securities accounts worth at least EUR 1 million, a narrow charge that reaches listed portfolios but not directly held business stakes.

The proposed levy is therefore complementary rather than duplicative. Because it is one-off, values assets at market and grants *no* business-asset exemption, it falls, for very-high-net-worth individuals, precisely on the unlisted-company and financial holdings that the national taxes spare, while adding only 0.1% per year at the bottom of the schedule (above EUR 1 million). Where a taxpayer is simultaneously liable to a national recurrent wealth tax (the Spanish solidarity tax or the French IFI), the proposal treats them as cumulative, since even in the most heavily taxed cases the combined annual burden stays below the return on capital and therefore within the bounds courts have treated as non-confiscatory (Section 4).

4 Responses to main objections

4.1 Expatriation

The objection most often raised against wealth taxes is that the wealthy will simply leave. This concern is real for a recurrent tax, but it has little force against a one-off levy assessed on residence at a fixed past date. Because the liability is fixed by where a taxpayer lived on 1 January 2027, no later move can change what is owed. Emigration therefore cannot erase the tax, only the ease of collecting it, and that is what the Deferral Account is designed to secure. The outstanding balance is attached to assets and crystallises when the taxpayer dies or transfers their tax residence outside the EU, so that leaving triggers, rather than avoids, payment. This is the same logic as an exit tax, applied to a liability that was already fixed before any departure.

4.2 Liquidity

Another common objection is that wealthy taxpayers, though rich on paper, may lack the cash to pay. The design answers this on two levels: the annual rate is low (at most 0.5% of wealth, payable out of normal capital income rather than principal), and payment can be made in listed shares or, in genuinely illiquid cases, in kind, so that no market sale or cash outlay is required.

4.3 Reduced investment and production

A wealth tax could in principle reduce private investment by lowering the after-tax return to capital and by consuming tax revenue through public spending, eventually lowering GDP. This concern does not apply here for two reasons. First, the tax is one-off and backward-looking, so it does not alter the marginal return on any investment decided after 2027. Second, and decisively, the revenue is earmarked to a European sovereign wealth fund: assets withdrawn from private portfolios are re-invested, not consumed, so the aggregate capital stock is preserved and the composition merely shifts from private to collective ownership. The fund's returns are designed to more than cover the servicing of the common debt, turning a one-off levy into a permanent public asset.

4.4 Deterring entrepreneurs

The claim that wealth taxes deter entrepreneurship applies to *recurrent* taxes that repeatedly claw back the fruits of success. It does not apply to a one-off tax on a past stock. An entrepreneur contemplating a new venture in 2028 faces no wealth-tax consequence from success, because the reference date has passed. The incentive to create, take risks and build is therefore left intact, which is precisely why Pisani-Ferry and Mahfouz (2023) and the classical public-finance literature on capital levies favour exceptional over permanent instruments.

4.5 Valuation

A recurring objection is that wealth is hard to value, especially unlisted businesses, real estate and art. The one-off design blunts this objection at the root: because the tax is assessed on a single reference date, assets need to be valued only once, exactly as they already are at death for inheritance tax, rather than re-valued every year. The recurring administrative cost that weighs on permanent wealth taxes therefore does not arise.

The experience of countries that value wealth annually shows the task is feasible but must be done at market value. Norway, which has levied a net-wealth tax without interruption since 1892, values listed shares at market, primary dwellings by hedonic pricing and other real estate by construction cost, and unlisted firms at their book value excluding intangible assets (Directorate-General for Taxation and Customs Union (European Commission), 2026). That last convention systematically under-values young, intangible-intensive companies, the very firms whose value lies in their brand, technology or growth prospects, so Norway's base is, if anything, too generous to business owners (Grindaker and Vestad, 2025). We therefore assess all assets at fair market value.

4.6 The low yield of past wealth taxes

Sceptics point out that recurrent wealth taxes have historically raised little, around 0.2% of GDP in France (ISF) and Spain, and roughly 0.1% in the former German and Austrian taxes (Directorate-General for Taxation and Customs Union (European Commission), 2026). This is a critique of how those taxes were designed, not of wealth taxation as such. Their yield was hollowed out by three features that the present proposal rejects. First, generous exemptions for business assets. Second, income-based caps: for instance, France's cap let the billionaires be taxed at an effective rate of less than 0.1% (Directorate-General for Taxation and Customs Union (European Commission), 2026). Third, annual assessment on a mobile base, which invited migration and avoidance year after year. Our levy grants no business-asset exemption, has no income cap (it is instead capped by an ability-to-pay ceiling on *current wealth*), and is assessed once on a past stock that cannot emigrate. It is precisely because it corrects these three defects that it raises as much revenue as old taxes did despite significantly lower tax rates.

4.7 Constitutionality

Wealth taxation is not unconstitutional as such in any EU jurisdiction. The concern that can make a wealth tax fall foul of a constitution is that it becomes confiscatory, taking so large a share of asset returns that it amounts to an expropriation rather than a tax. Low rates dispose of that concern: an annual charge of at most 0.5% of wealth, only a fraction of the normal return on capital, leaves the principal intact and stays far from any confiscation threshold. The history of national wealth taxes, reviewed below, confirms that they were struck down or abandoned for specific, avoidable defects, unequal valuation, taxation of a fictitious return, or genuinely confiscatory rates, and never because taxing wealth is inherently impermissible.

Germany. The Federal Constitutional Court suspended the wealth tax in its 1995 decision (2 BvL 37/91) not because wealth taxation is inherently unconstitutional, but because real estate was valued far below market while financial assets were valued at market, violating the equality principle of the Basic Law (Bundesverfassungsgericht, 1995). The same decision advanced the *Halbteilungsgrundsatz*: that wealth and income tax combined should not take away more than roughly half of the potential return of the taxed assets. Two points defuse this. First, the Court itself, in a later ruling, held the *Halbteilungsgrundsatz* not to be legally binding (Directorate-General for Taxation and Customs Union (European Commission), 2026). Second, the proposed tax would satisfy it in any case: an annual charge of at most 0.5% of wealth is only a small fraction, of the order of a tenth, of the normal return on capital, so that even added to income tax the combined burden stays far below half of that return. A uniformly market-valued, low-rate one-off tax thus avoids both defects that felled the German tax.

Spain. The Constitutional Court *upheld* the central solidarity wealth tax in December 2023 against challenges from several regions, confirming that a wealth tax is compatible with the Spanish constitution (Tribunal Constitucional de España, 2023).

The Netherlands. The Netherlands abolished its genuine net-wealth tax in 2001 for practical, not legal, reasons: the old tax was widely avoided or evaded and raised little. The wealth tax was folded into the income tax as "Box 3", which taxes a *notional* (assumed) return rather than actual wealth or actual income, a design chosen for administrative simplicity, not because taxing wealth was thought unconstitutional. It is precisely the taxation of a *fictitious* return that the Supreme Court struck down, in the 2021 "Christmas Judgment" and again in 2024, as an infringement of the right to property and the prohibition of discrimination under the European Convention on Human Rights (Hoge Raad der Nederlanden, 2021). The Netherlands is now moving to a tax on *actual* returns from 2028. A charge levied on *actual* wealth, with an ability-to-pay safeguard, does not share this flaw; if anything the Dutch saga shows that taxing real wealth is on firmer legal ground than taxing an imputed one.

France. The Conseil constitutionnel has repeatedly upheld wealth taxation (the ISF and later the IFI), on the condition that the burden not become confiscatory, which for a holding tax may require an income-based cap only when the rate is high (Conseil des prélèvements obligatoires, 2018; Conseil constitutionnel, 2012). The threshold is telling: in the ISF case-law a rate of 0.5% was validated without any cap, whereas a rate of 1.8% required one (Conseil des prélèvements obligatoires, 2018). The maximum annual rate proposed here is 0.5%, the very level the Conseil accepted with no cap, so the French standard is comfortably met. It is worth noting that the Conseil constitutionnel also judged that ability to pay may be assessed on wealth ownership rather than income flows (Decision n° 2019-769 QPC), confirming the legitimacy of a wealth tax.

Austria. Austria discontinued its wealth tax in 1993 by an act of government, not of any court, and for reasons of design rather than principle: fear of capital flight, widespread evasion, high administrative cost, and low and declining revenue, compounded by the unequal treatment of grossly under-valued real estate (the same defect that later led the Constitutional Court to strike down the Austrian inheritance tax) (Directorate-General for Taxation and Customs Union (European Commission), 2026).

However, one genuine legal obstacle is specific to Austria: Article 1(1)(2) of the constitutionally entrenched Final Taxation Act (*Endbesteuerungsgesetz*) bars any wealth tax on bank deposits and domestically issued bonds. Overcoming it would require either amending that constitutional law by a two-thirds majority, or granting Member States the option to exempt those asset classes, which in any case make up only a small share of large fortunes.

European law. Two European-level points complete the picture. First, Article 1 of Protocol No. 1 to the European Convention on Human Rights protects the peaceful enjoyment of possessions but explicitly permits States to levy taxes, subject to a "fair balance" between the general interest and the individual burden; the Court finds a violation only where the charge is disproportionate or confiscatory, and a one-off levy of at most 0.5% of wealth per year with an ability-to-pay ceiling sits well within that margin. Second, Article 345 of the Treaty on the Functioning of the European Union provides that "the Treaties shall in no way prejudice the rules in Member States governing the system of property ownership": EU law is neutral as between private and public ownership, so using the proceeds to build up collective, public ownership of productive capital raises no objection under the Treaties.

The recurring constitutional theme across jurisdictions is that wealth taxes fail when they value assets unequally, tax fictitious returns, or become confiscatory, never simply because they tax wealth. The present design is built to avoid all three failure modes.

5 Possible variants

Several variants are compatible with the architecture above but are left for future work and not developed here: (i) converting the one-off levy into a *permanent* recurrent wealth tax; (ii) applying *higher rates* above EUR 100 million wealth, closer to the 2%–3% minimum-tax proposals of Zucman (2024); (iii) pairing the wealth tax with a reform of *inheritance* and *capital gains taxation*, which reaches the same tax base at the point of transmission; and (iv) allocating the revenue to EU own resources rather than to a sovereign wealth fund. Each of these would change the efficiency, legal and political properties of the instrument and deserves separate analysis.

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